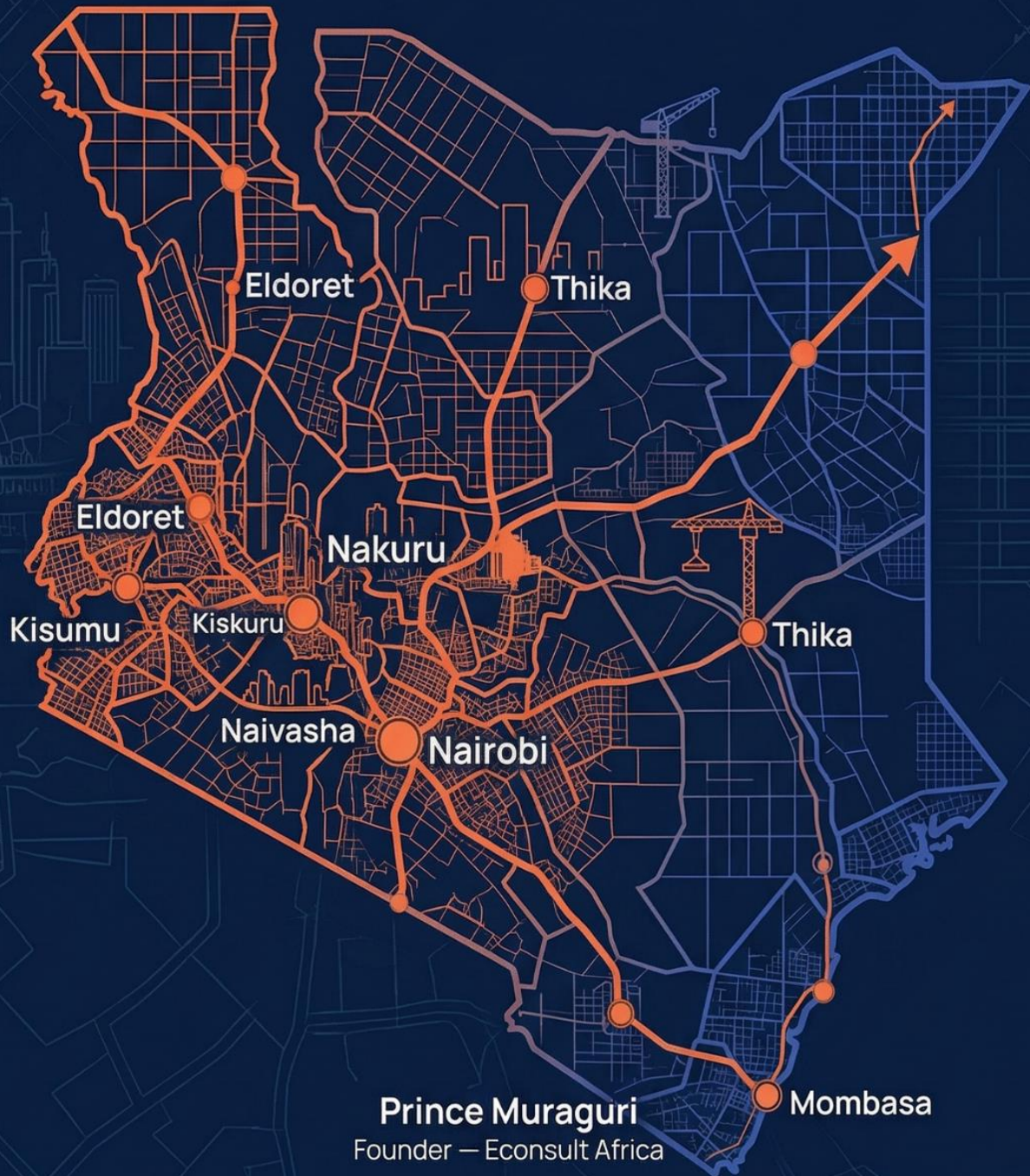


Kenya Real Estate & Construction Report 2026

Strategic Insights for Property Markets, Urban Development,
and Construction Investment in Kenya



Mapping the cities building Kenya's economic future



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KENYA 2026

REAL ESTATE & CONSTRUCTION

INTELLIGENCE BRIEF

Cement consumption is up 16.2%. Credit to construction surged 52.9%. The sector is booming. But Kenya has only 30,000 mortgages for 54 million people. Everyone is looking at the wrong number.

Derived from the Kenya 2026 Economic Outlook | Econsult Africa Sector Intelligence Series

Contents

Section 1: Macro Context in 60 Seconds	4
Section 2: Sector Performance and Trajectory	5
Section 3: Policy and Regulatory Environment	7
Section 4: Risk Map	8
Section 5: Opportunity Map	10
Section 6: So What: Implications by Player Type	12
Section 7: Key Indicators to Watch	13
Section 8: References	14

Section 1: Macro Context in 60 Seconds

Two numbers frame this sector. The first: **+6.7%**. That was construction's growth in Q3 2025, reversing a contraction that had persisted through most of 2024. Cement consumption surged 16.2% to 2,664 thousand tonnes. Iron and steel imports jumped to 336,262 tonnes from 220,284. Credit to construction enterprises surged 52.9% to KSh 195.3 billion from KSh 129.2 billion (Econsult Africa, 2026). The construction sector is booming. That is the number everyone is talking about.

The second number is the one they should be talking about: **approximately 30,000**. That is the total number of mortgages in Kenya. For a country of 54 million people (CNBC Africa, 2025; Cytonn, 2023). Commercial mortgage rates sit at 14-16%, with KMRC-backed affordable mortgages at 7-10% but capped at KSh 8 million in Nairobi (below the KSh 9.1 million average apartment price) and KSh 6 million elsewhere (KMRC, 2023; Realty Boris, 2025). Cash buyers dominate transactions because mortgage financing is structurally prohibitive for the vast majority of Kenyans. The housing deficit stands at approximately 2 million units and growing. Boma Yangu has over 720,000 registrations demonstrating demand that the financing system cannot serve (Econsult Africa, 2026; Boma Yangu, 2026).

The construction boom is real. But it has two engines that operate on different timelines. The first is government infrastructure spending: roads, AFCON stadiums, the Affordable Housing Programme, and county-level projects, all front-loaded before the August 2027 election in the familiar pre-election pattern (Econsult Africa, 2026). This engine has a built-in expiry date. The second is private sector real estate development, supported by lower borrowing costs and urbanisation-driven demand (CNBC Africa, 2025). This engine is structural but constrained by the mortgage market's dysfunction. The oil shock since February 28 (Brent at \$112 versus the Outlook's assumed \$58-67) raises construction input costs — cement kilns, steel, transport, bitumen — at exactly the moment the boom should be accelerating. And KSh 182 billion in county pending bills remain a systemic threat to contractor cash flows (Econsult Africa, 2026).

This brief draws primarily on the Kenya 2026 Economic Outlook by Econsult Africa, supplemented by publicly available data through March 29, 2026. All 2026 projections are forward-looking assessments.

For the full macroeconomic analysis, see the Kenya 2026 Economic Outlook (<https://econsult.africa/kenya-2026>).

Section 2: Sector Performance and Trajectory

The Construction Boom: Real, Cyclical, and Time-Limited

Construction was the industrial sector's star in 2025. The rebound from -2.6% in Q3 2024 to +6.7% in Q3 2025 was powered by resumed government road works, the Nairobi Expressway expansion, housing under Ruto's Affordable Housing Programme, and AFCON stadium construction (Econsult Africa, 2026). Bitumen imports rose 7.3%. Real estate sector growth hit 5.7% in Q3 2025 (Trading Economics, 2026). With the 2027 election approaching, infrastructure spending is projected to be front-loaded through the FY2026/27 budget. President Ruto has explicitly tied completion of major road projects to the 2027 timeline (Econsult Africa, 2026).

However, **construction's contribution to sustainable growth is ambiguous**. Government-driven spending crowds out private investment when financed through domestic borrowing. If construction growth is funded by fiscal deficit expansion rather than revenue, it improves headline GDP at the cost of debt sustainability. The Outlook notes this becomes particularly acute in a pre-election year when the political incentive is to spend visibly regardless of financing quality (Econsult Africa, 2026). The historical pattern is documented: infrastructure spending collapses in the post-election fiscal year as new administrations review contracts and pending bills accumulate.



Figure 1: Vital Signs Dashboard. Blue indicators show the cyclical boom. Red shows the structural barrier (mortgage rates). Orange shows the systemic risk (pending bills). The contrast tells the sector's story.

The Property Market: Stabilising, Shifting, Stuck on Financing

Kenya's residential property market is expected to stabilise in 2026 — not boom, not crash. Sales prices are rising modestly while high-end rentals in areas like Gigiri, Karen, and Muthaiga are softening due to oversupply and reduced corporate leasing (CNBC Africa, 2025). The defining shift is geographic: infrastructure improvements are driving a move from congested Nairobi apartments to satellite town developments in Kitengela, Ruiru, Syokimau, Athi River, Juja, and Ngong. Land prices outside Nairobi rose 6.3% as improved roads and commuter connections made suburban living viable (CNBC Africa, 2025; Realtors Platform, 2026). Properties priced KSh 2-8 million — one-bedroom to starter homes — are the primary focus for both first-time buyers and middle-income households (Realtors Platform, 2026).

The Boma Yangu programme is expanding nationwide. Prices start at KSh 640,000 for a studio under the social housing category. President Ruto handed over 180 units at Milimani Boma Yangu Estate Phase 1 in Kakamega in March 2026 and laid the foundation for Phase II (1,891 units). Projects are underway or planned in Nairobi (Pangani, Mukuru, Park Road, Starehe), Kiambu (Kings Boma, Kikuyu), Mombasa (Buxton Point), Athi River (Moke Gardens, Fairvalley Heights), Kakamega (Milimani), Isiolo, and more (Capital FM, 2026; Construction Kenya, 2025; Boma Yangu, 2026). The rent-to-own model (12.5% deposit, 25 years, interest-free through M-Pesa contributions) is structurally innovative and addresses the mortgage gap for the lowest income segments.

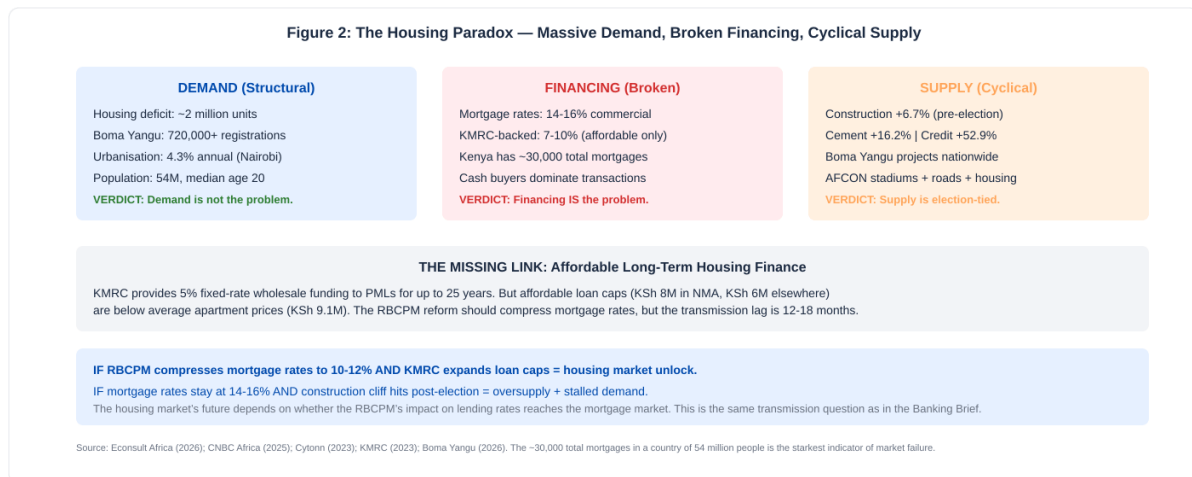


Figure 2: The Housing Paradox. Demand is proven (720,000+ registrations, 2M unit deficit). Supply is cyclical (election-tied). The missing link is financing: ~30,000 mortgages for 54 million people. KMRC-backed affordable rates (7-10%) are below market (14-16%) but loan caps are below average apartment prices.

Industrial and Logistics Real Estate: The Emerging Segment

Beyond residential, industrial and logistics real estate is an emerging bright spot. Tatu City's infrastructure investment exceeding \$500 million supports 80+ businesses. Africa Logistics Properties' iREIT received KSh 1.95 billion from PIDG for modern warehouses at Tatu City and Tilisi (African Real Estate, 2026; Startup Genome, 2026). Data centre construction is accelerating: KenGen's NBOX1 (22.5MW) and growing demand for cloud infrastructure are creating a new real estate category. Special Economic Zones, particularly KenGen's Green Energy Park at Olkaria, represent industrial real estate powered by geothermal at competitive rates (KenGen, 2026).

Section 3: Policy and Regulatory Environment

The Affordable Housing Programme: Political Priority, Delivery Challenge

The Affordable Housing Programme is a BETA (Bottom-Up Economic Transformation Agenda) priority. The government's Housing Levy (1.5% of gross salary, employer-matched) generates a dedicated funding stream. KMRC provides 5% fixed-rate wholesale funding to primary mortgage lenders for up to 25 years (Cytonn, 2023; KMRC, 2023). However, the affordable loan cap of KSh 8 million in the Nairobi Metropolitan Area is below the average apartment price of KSh 9.1 million, creating a structural gap between what KMRC finances and what the market produces (Cytonn, 2023). The programme's scaling challenge is execution: translating 720,000 registrations into actual housing delivery requires construction capacity, land availability, and financing channels that are still being built.

RBCPM and Mortgage Rates: The Banking Brief Connection

The RBCPM reform (fully operational February 28, 2026) has direct implications for the real estate sector. If the reform successfully compresses commercial lending rates from 14.8% toward 12-13%, mortgage rates should follow with a 12-18 month lag. The Outlook's base case projects lending rates declining to 13.5-14.0% by year-end 2026 under baseline conditions. If this translates to mortgage rates declining to 10-12%, the addressable market for mortgage-financed housing purchases expands significantly (Econsult Africa, 2026). This is the same transmission question driving the Banking Brief — and its resolution matters as much for real estate as for credit growth.

Pending Bills: The Systemic Risk Nobody Talks About Enough

KSh 182 billion in county unpaid bills represent a structural threat to the construction sector. Contractors who depend on government contracts face cash flow constraints that cascade through subcontractors, material suppliers, and workers. The KSh 175 billion pending bills securitisation in May 2025 provided partial relief, but the stock of unpaid bills continues to accumulate, particularly at county level (Econsult Africa, 2026). In a pre-election year, the incentive is to commission new projects (politically visible) rather than pay for completed ones (politically invisible). This creates a **paradox where more construction activity coexists with more contractor distress**.

Section 4: Risk Map

This sector has the **most explicitly time-bound risk of any in the series**. Risk 1 has a specific date: August 2027.

Risk 1: Post-Election Construction Cliff (Probability: High | Impact: High)

The historical pattern is documented and consistent: infrastructure spending collapses in post-election fiscal years as new administrations review contracts. **Trigger:** August 2027 election. **Early warning:** Cement consumption decelerating in H1 2027; pending bills above KSh 200 billion; budget allocation shifts. **Transmission:** Construction sector reverses from +6.7% to contraction; contractor defaults; banking NPLs in construction portfolios rise; cement and steel demand drops (Econsult Africa, 2026).

Risk 2: Pending Bills Re-Accumulation (Probability: High | Impact: Medium-High)

County pending bills at KSh 182 billion constrain contractor cash flows. Pre-election spending commissions new projects without clearing old obligations. **Trigger:** New project announcements exceeding payment capacity. **Transmission:** Cascading defaults through subcontractor chains; banking NPLs; political backlash from unpaid workers (Econsult Africa, 2026).

Risk 3: Oil-Driven Construction Cost Surge (Status: ACTIVE | Impact: Medium-High)

Brent at \$112 raises costs for cement production (kiln energy), steel, transport, and bitumen. **Status:** Active since Feb 28. **Transmission:** Developer margins compressed; affordable housing cost assumptions invalidated; project delays and budget overruns. The oil shock is the most significant cost variable for the sector since COVID-19.

Risk 4: Mortgage Rate Stickiness (Probability: Medium-High | Impact: Medium, structural)

Commercial mortgage rates remain at 14-16% despite 425bp of CBR cuts. RBCPM pass-through to mortgage products takes 12-18 months. **Trigger:** RBCPM fails to compress lending rates. **Transmission:** Cash-only market persists; housing demand that mortgage financing could unlock remains trapped; property market stabilises at low transaction volumes (CNBC Africa, 2025).

Risk 5: High-End Rental Oversupply (Probability: Medium | Impact: Low-Medium, localised)

Expatriate departure, reduced corporate leasing, and overbuilding in Gigiri, Karen, and Westlands have softened high-end rental yields. **Trigger:** Further corporate downsizing; embassy relocations; continued new supply. **Transmission:** Rental yields compress; investors shift to corporate bonds and other asset classes; REITs face occupancy pressure (CNBC Africa, 2025).

Figure 3: Real Estate & Construction Risk Heat Map — Probability vs. Impact

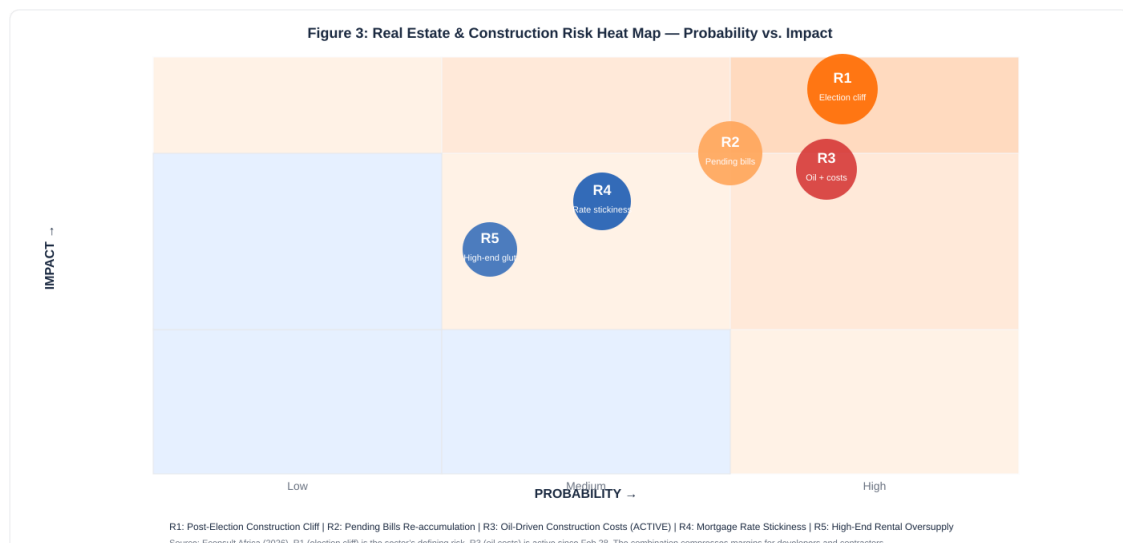


Figure 3: Risk Heat Map. R1 (election cliff) sits in the high-probability, high-impact quadrant with a specific date. R3 (oil costs) is already active. The combination compresses both contractor margins and developer returns.

Section 5: Opportunity Map

O1: Pre-Election Infrastructure Boom (6-18 months, cyclical)

Thesis: Construction +6.7%, cement +16.2%, credit +52.9%. Pre-election spending is projected to accelerate. Roads, AFCON stadiums, Affordable Housing, county projects all tied to August 2027. **Risk:** Post-election cliff is the historical pattern. Oil shock raises input costs. **Time horizon:** EXIT BEFORE AUGUST 2027. This is the most explicitly cyclical opportunity in the entire series (Econsult Africa, 2026).

O2: Affordable Housing / Boma Yangu (structural, 5-10 years)

Thesis: 720,000+ registrations, 2 million unit deficit, prices from KSh 640,000. The demand is proven and structural. Government political commitment is bipartisan (no likely future administration will abandon the programme). **Evidence:** Projects nationwide; rent-to-own model; Housing Levy funding stream; M-Pesa contribution integration; President personally handing over units. **Risk:** Execution speed; construction cost inflation (oil shock); land availability in urban areas. **Time horizon:** Structural (Boma Yangu, 2026; Capital FM, 2026).

O3: Satellite Town Development (structural, 3-7 years)

Thesis: The suburban shift is structural, driven by infrastructure (bypass roads, commuter rail, Nairobi Expressway), affordability (land prices 40-60% lower than CBD), and lifestyle preferences (gated communities, green space). Kitengela, Ruiru, Syokimau, Athi River, Juja, and Ngong are the growth corridors. Land prices outside Nairobi rose 6.3% (CNBC Africa, 2025). **Risk:** Infrastructure promises not delivered; water and sewerage constraints. **Time horizon:** Medium to long-term (Realtors Platform, 2026).

O4: Industrial and Logistics Real Estate (3-10 years)

Thesis: Data centres, warehousing, SEZs, and logistics parks are an emerging asset class driven by e-commerce growth, digital economy expansion, and supply chain formalisation. Tatu City (\$500M+ invested), Africa Logistics Properties iREIT, and KenGen's Olkaria Green Energy Park represent the model. **Risk:** Demand still nascent; infrastructure gaps at SEZ locations. **Time horizon:** Long-term (African Real Estate, 2026; Startup Genome, 2026).

O5: Mortgage Market Unlock (conditional, 12-24 months)

Thesis: If RBCPM compresses commercial lending rates and the pass-through reaches mortgage products (12-18 month lag), mortgage rates declining from 14-16% to 10-12% would unlock a significant expansion of the addressable housing market. Combined with KMRC's wholesale funding at 5% and Boma Yangu's demand pipeline, this could be the structural inflection point for Kenya's housing market. **Evidence:** RBCPM operational since Feb 28; Outlook projects lending rates to 13.5-14% by year-end under baseline. **Risk:** Banks inflate K premiums; transmission fails; oil shock keeps overall rates elevated. **Time horizon:** Conditional. The Q2 2026 TCC data is the first test (Econsult Africa, 2026).

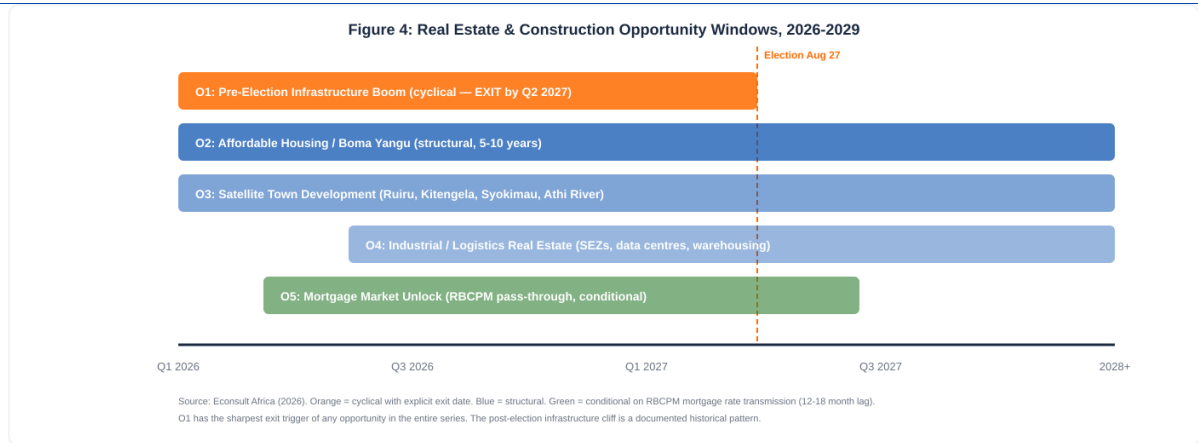


Figure 4: Opportunity Windows. O1 has the sharpest exit trigger of any opportunity in the entire 8-brief series. O5 (mortgage market unlock) is conditional on the same RBCPM transmission question driving the Banking Brief.

Section 6: So What: Implications by Player Type

For Operators (developers, contractors, cement producers)

Maximise the pre-election boom NOW but model for post-August 2027 contraction. The construction cliff is a documented pattern, not a prediction. **Affordable housing developers:** the Boma Yangu pipeline is the most politically protected construction segment. It survives the election cycle because no future government abandons affordable housing. **Manage oil exposure:** lock material prices, hedge fuel costs, and build contingency for input inflation. **Clear pending bills aggressively** before the election changes the payment dynamic.

For Investors (property, REITs, construction equity)

The satellite towns are the medium-term play. Land prices +6.3% outside Nairobi, with infrastructure improving and affordability driving demand. **Industrial/logistics real estate is the emerging asset class:** data centres, warehousing, SEZs. The Africa Logistics Properties iREIT model will be replicated. **Avoid high-end residential:** oversupply and softening rentals make yield compression likely. **Watch mortgage rates:** if RBCPM compresses rates to 10-12%, the entire sector reprices upward as the addressable market expands.

For Policymakers (State Dept Housing, NHC, KMRC)

Raise KMRC loan caps. The KSh 8 million cap in NMA is below the KSh 9.1 million average apartment price. This structural gap means KMRC cannot finance the housing the market produces. **Scale Boma Yangu execution speed.** 720,000 registrations represent demand the programme is not yet delivering fast enough. **Address pending bills before commissioning new projects.** The paradox of new announcements alongside unpaid contractors undermines both the sector and government credibility.

For Development Partners (World Bank, IFC, Shelter Afrique)

Housing is where Kenya's demographic dividend meets its infrastructure deficit. 54 million people, 4.3% urbanisation, 2 million unit deficit, 30,000 mortgages. The highest-impact interventions: additional capitalisation for KMRC to expand both volume and loan caps; credit guarantee schemes for developer financing; technical assistance for Boma Yangu project management and construction supervision; and concessional financing for satellite town infrastructure (water, sewerage, roads).

Section 7: Key Indicators to Watch

Indicator	Current Value	Trend	Threshold	Source	Freq.
Construction growth	6.7% (Q3 2025)	▲ Booming	Deceleration <3%	KNBS	Quarterly
Cement consumption	+16.2% YoY	▲ Surging	Decline for 2 months	KNBS	Monthly
Credit to construction	KSh 195.3B (+52.9%)	▲ Flood	NPLs in construction rising	CBK	Quarterly
Real estate GDP growth	5.7% (Q3 2025)	▲ Solid	Below 3% for 2 quarters	KNBS	Quarterly
Boma Yangu registrations	720,000+	▲ Growing	Delivery <5,000 units/year	Boma Yangu	Quarterly
Commercial mortgage rates	14-16%	▼ Slowly	Stalls above 13%	CBK	Monthly
KMRC disbursements	Growing	▲ Positive	Loan cap not raised	KMRC	Quarterly
Pending bills (county)	KSh 182B	▲ Risk	Exceeds KSh 200B	CoB/Treasury	Quarterly
Brent crude (input costs)	\$112.57 (Mar 27)	▲ CRISIS	Sustained >\$95	Trading Econ.	Daily
Land prices (outside NBI)	+6.3% YoY	▲ Structural	Speculative acceleration >15%	CNBC Africa	Annual

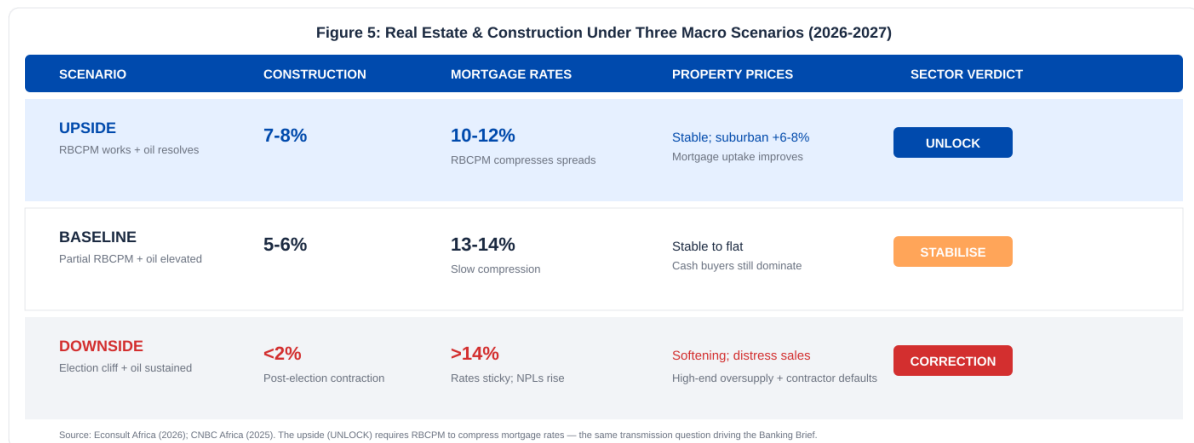


Figure 5: Scenario Projections. The upside (UNLOCK) requires RBCPM to compress mortgage rates — the same transmission question from the Banking Brief. The downside (CORRECTION) combines the election cliff with sustained oil costs and high-end oversupply.

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**Econsult Africa****Methodology**

This brief is derived from the Kenya 2026 Economic Outlook, a comprehensive macroeconomic assessment by Econsult Africa, supplemented by publicly available data through March 2026. All sources are cited in APA 7th edition format. All 2026 sector-level projections remain forward-looking assessments as at the date of publication.

Primary source: Econsult Africa. (2026). Kenya 2026 Economic Outlook. Econsult Africa. <https://econsult.africa/intelligence-marketplace>

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